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Case Number: 25NWCV02367 Hearing Date: August 6, 2026 Dept: D

LETICIA MAGDALENA

RODRIGUEZ, ET AL. V. GENESIS MOTOR AMERICA, LLC

CASE NO.: 25NWCV02367

HEARING: 08/06/2026 @ 9:30 a.m.

#12

TENTATIVE ORDER

Plaintiffs' motion to vacate

order compelling arbitration and to lift stay is DENIED.

Moving party to give notice.

Plaintiffs Leticia Magdalena

Rodriguez and Irma Ortiz Rodriguez (collectively, Plaintiffs) move for an order vacating the Court's September 2025 Order compelling arbitration and lifting the stay in this matter.

Background

On June 30, 2025, Plaintiffs filed this lemon law action against Defendant Genesis Motor America, LLC (Defendant) and Does 1-20.

On September 11, 2025, the Court

granted Defendant Genesis Motor America, LLC's (Defendant) motion to compel binding arbitration and stay action.

On June 22, 2026, Plaintiffs filed the instant motion.

On July 24, 2026, Defendant filed an opposition.

On July 29, 2026, Plaintiffs filed a reply.

Legal Standard

A trial court possesses "some amount of discretion to lift a stay imposed pending arbitration prior to the completion of an ordered arbitration." (Aronow v. Superior Court (2022) 76 Cal.App.5th 865, 876.). However, this discretion is "to lift a stay prior to the completion of arbitration only under circumstances in which lifting the stay would not frustrate the arbitrator's jurisdiction." (MKJA, Inc. v. 123 Fit Franchising, LLC (2011) 191 Cal.App.4th 643, 660.)

In Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562 (Quach), the California Supreme Court held that waiver of arbitration rights is governed by ordinary contract principles. To establish waiver, the party opposing arbitration must demonstrate by clear and convincing evidence that the opposing party was aware of its contractual right to arbitrate and deliberately chose to relinquish it. (Id. at 584.). The dispositive inquiry is whether the party's conduct is "so inconsistent with an intent to enforce the agreement that relinquishment may be inferred." (Id. at 585.) Prejudice to the opposing party is not required. (Id., citing Morgan v. Sundance, Inc. (2022) 596 U.S. 411, 416.) The standard is demanding. Waiver requires a showing that it is "highly probable" the right was intentionally abandoned. (Quach, supra, 16 Cal.5th at 584.)

When parties cannot agree on arbitrator selection, California law provides a specific remedy through section 1281.6, which states that "in the absence of an agreed method, or if the agreed method fails or for any reason cannot be followed, or when an arbitrator

appointed fails to act and his or her successor has not been appointed, the court, on petition of a party to the arbitration agreement, shall appoint the arbitrator." (Code Civ. Proc., § 1281.6.) The proper remedy for a party facing delays in arbitrator selection is to petition the court for appointment of an arbitrator under section 1281.6, not to seek lifting of the arbitration stay. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 981 (*Engalla*.)

A party that "imposes and administers its own arbitration program, that fraudulently misrepresents the speed of arbitrator selection process so as to induce reliance, and that in fact engages in conduct forcing substantial delay, may not then compel arbitration by contending that the other party failed to resort to the court by filing a petition for court-appointed arbitrator." (*Engalla*, supra, 15 Cal.4th at 981.) However, an "arbitration agreement is not breached when delay in selection of arbitrators is result of reasonable disagreements over arbitrator selection." (*Id.* at 980.) Courts examine whether there is "strong evidence that, despite a high degree of diligence on the part of the [plaintiff's] counsel in attempting to obtain the timely appointment of arbitrators, [defendant] lacked either reasonable diligence or good faith, or both, in cooperating on these timely appointments." (*Ibid.*)

Analysis

Plaintiffs argue that Defendant waived and/or forfeited its right to arbitrate by failing to timely initiate and diligently prosecute arbitration following the Court's September 2025 order compelling arbitration.

Specifically, Plaintiffs argue that following the Court's order, "Defendant neither commenced arbitration nor agreed to the JAMS arbitration, which Plaintiffs commenced, which Defendant was agreeable to in its Lease Agreement." (Motion, p. 5.) Plaintiffs rely on *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992, which identified several factors historically considered in determining waiver, including whether a party acted inconsistently with the right to arbitrate and whether delay prejudiced the opposing party. However, under *Quach*, the ultimate inquiry is whether Defendant's conduct demonstrates a voluntary and intentional relinquishment of its contractual

right to arbitrate. (Quach, supra, 16 Cal.5th at 584-585.)

As evidence of waiver, Plaintiffs submit evidence that: (1) following the Court's order, Defendant "took no meaningful steps to advance the arbitral process," allowing the matter to remain inactive for approximately eight months; (2) Plaintiffs themselves filed a demand for arbitration with JAMS in November 2025; (3) Plaintiffs selected JAMS because Defendant had identified JAMS as an approved arbitration forum; (4) after approximately seven months of inactivity, Defendant's counsel declined to proceed with the JAMS arbitration on April 23, 2026; and (5) Defendant did not independently commence arbitration after securing the stay and refused to participate in the JAMS arbitration initiated by Plaintiffs, ultimately resulting in the closure of the JAMS matter. (Ryu Decl., ¶¶ 3-7.)

However, the Court finds that Plaintiffs' own evidence does not establish by clear and convincing evidence that Defendant intentionally relinquished its contractual right to arbitrate. Rather, Plaintiffs' evidence demonstrates that the parties disagreed over the proper arbitration forum. (Quach, supra, 16 Cal.5th at 584-585.) Exhibit 4 consists of email communications reflecting Defendant's position that arbitration should proceed before AAA pursuant to the Connected Services Agreement (CSA) rather than JAMS, and Defendant expressly advised that it did not consent to proceeding before JAMS. (Ryu Decl., ¶ 6, Ex. 4.) A disagreement regarding the proper arbitration forum is not equivalent to abandoning arbitration altogether. Indeed, an arbitration agreement is not breached where delay in selecting an arbitrator results from reasonable disagreements concerning arbitrator selection. (Engalla, supra, 15 Cal.4th at 980.)

In opposition, Defendant submits evidence that it consistently maintained arbitration should proceed before AAA pursuant to the arbitration agreement, objected to Plaintiffs' selection of JAMS, and, after JAMS closed the matter, initiated arbitration before AAA. (Villa Decl., ¶ 12, Exs. E-J.) This conduct is inconsistent with an intent to relinquish arbitration and instead demonstrates Defendant's continued effort to enforce the arbitration agreement, albeit in the forum Defendant believed the parties had agreed upon.

Moreover, to the extent Plaintiffs believed the parties had reached an impasse regarding arbitrator selection, the Code provides a specific statutory remedy. Code of Civil Procedure section 1281.6 authorizes the Court to appoint an arbitrator where the parties' agreed method

fails or cannot be followed. Plaintiffs did not pursue that remedy. Instead, Plaintiffs seek to vacate the arbitration order entirely. Under *Engalla*, a disagreement regarding arbitrator selection does not itself establish abandonment of the arbitration agreement absent evidence that the delay resulted from a lack of reasonable diligence or good faith. (*Engalla*, supra, 15 Cal.4th at 980-981.)

The Court finds that the evidence reflects an ongoing dispute concerning the proper forum, not an intentional abandonment of arbitration. Although arbitration has been delayed, the evidence does not establish that Defendant abandoned arbitration after obtaining the stay.

Accordingly, Plaintiffs have failed to establish by clear and convincing evidence that Defendant intentionally relinquished its contractual right to arbitrate.

Conclusion

Based on the foregoing, Plaintiffs Leticia Magdalena Rodriguez and Irma Ortiz Rodriguez's motion to vacate order compelling arbitration and to lift stay is DENIED.